



Ergon Energy Corporation Limited

Network Price Book

**Network Price List - Contestable Customers
(Network Use of System Prices)
2002-2003**

To apply from 1 July 2002

Prices in this Network Price Book are GST Inclusive

Release 2 **fixes the name of the link to the Pricing and Electricity Market information on the Ergon Energy Web site and removes the incorrectly applied dollar signs in the Volume charges in Tables 1 and 2.**

Release 2

Date: 9 December 2002

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Network Price Book

1. INTRODUCTION

1.1 Who this Price Book Applies To

This Network Price Book has been developed for Network Users (Contestable Customers, and Embedded Generators) connected to Ergon Energy Corporation Limited's distribution supply network. It sets out network prices and application rules for customer connection services after the Customer has entered the contestable electricity market.

NOTE: The Queensland gazetted Retail Electricity Prices for Non-Contestable Customers applies to:

- (i) customers not yet eligible to be contestable (<200 MWh franchise customers); and**
- (ii) those customers who are eligible to be contestable but who have not entered the contestable electricity market.**

1.2 Where are Prices Derived From?

The Queensland Competition Authority, as the Jurisdictional Regulator under the National Electricity Code, has released its Final Determination "Regulation of Electricity Distribution", May 2001.

The Final Determination sets out the process for network price development to be applied for the regulatory control period, and that prices be published annually.

Ergon Energy has a "Network Pricing Principles Statement" approved by the Queensland Competition Authority in May 2001 and revised and approved in March 2002 which sets out the steps for price development.

1.3 Where Can More Information Be Obtained?

In accordance with the QCA's requirements, Ergon Energy publishes 2 documents relating to distribution network pricing:

- (i) a "Network Pricing Principles Statement" which sets out the approach to be adopted during the regulatory control period 2001 /02 - 2004 /05.**
- (ii) this "Network Price Book" which is applicable to the 2002 / 2003 financial year.**

These documents are available on the Ergon Energy website at:

http://www.ergon.com.au/network_info/price_guide.asp

1.4 How To Contact Ergon Energy Corporation Limited

Network Users and Retailers who are uncertain about the network pricing process, or their particular circumstances are encouraged to contact us for assistance.

CONTACT DETAILS

**Network Pricing Manager
P O Box 1090
TOWNSVILLE Q 4810**

Ph (07) 4727 6683

FAX: (07) 4727 6849

Email: netprice@ergon.com.au

2. DEFINITIONS

- (a) Individually Calculated Customers (ICCs) are those customers:**
 - (i) with energy consumption typically greater than 40 GWh / year; or**
 - (ii) where a customer's circumstances in a pricing zone mean that the average shared network charge becomes meaningless or distorted.**
- (b) Connection Asset Customers (CACs) are those customers:**
 - (i) with energy consumption typically greater than 4 GWh / year; or**
 - (ii) where significant network augmentation is required to effect the connection.**
- (c) Embedded Generators (EGs) are those generators:**
 - (i) that are connected to and use the distribution system.**
- (d) Standard Asset Customers are those customers:**
 - (i) with energy consumption typically greater than 200 MWh / year; or**
 - (ii) where the network prices are based on the averages of both the shared distribution network charges and connection charges for the Network User Group in the particular zone**
- (e) DUOS - means Distribution Use Of System.**
- (f) TUOS - means Transmission Use of System.**
- (g) TNI - means Transmission Node Identifier**

3. NETWORK USER GROUPS

3.1 Scope of Price Book

- (a) This price book applies to the following groups of Network Users:**
 - (i) Connection Asset Customers; and**
 - (ii) Standard Asset Customers.**
- (b) Prices for Individually Calculated Customers and Embedded Generators are available on application to Ergon Energy.**

3.2 Connection Asset Customers

- (a) Network Prices are based on:**
 - (i) site specific connection charges based on the actual connection assets utilised; plus**
 - (ii) average shared distribution network charges; plus**
 - (iii) TUOS for the relevant Transmission Network Connection Point postage-stamped to customers on a c / kWh basis.**
- (b) Site specific connection charges are not published in the public domain. Ergon Energy will provide the total distribution network price directly to the customers and their Retailer of Choice with the Customers' approval**
- (c) The shared distribution network component of CAC prices for each zone is published in Tables 1 and 2. These tables do NOT include TUOS.**
- (d) To include TUOS refer to Section 8**
- (e) Distribution Loss Factors are generally assigned on the basis of the standard metering voltage for the type of connection however a specific loss factor may be applied where there is a unique network configuration supplying a particular customer. The Distribution Loss Factor applies to the Distribution Network and does not include any allowance for Transmission Losses.**

3.3 Standard Asset Customers

- (a) Network prices are based on:**
 - (i) the averages of both the shared distribution network charges and connection charges for the Network User Group in the particular zone; plus**
 - (ii) TUOS for the relevant Transmission Network Connection Point postage-stamped to customers on a c / kWh basis.**
- (b) Distribution network prices for SACs for each zone are published in Tables 3 and 4. These tables do NOT include TUOS.**
- (c) To include TUOS refer to Section 8.**
- (d) Distribution Loss Factors have been assigned on the basis of the standard metering voltage for the type of connection. The Distribution Loss Factor applies to the Distribution Network and does not include any allowance for Transmission Losses.**

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- (e) **The Network Price category applicable to a Customer will be as nominated by the Customer or their Retailer of Choice from among the following categories:**
- (i) ***Demand High Voltage (DH)* is available to customers who have high voltage metering and take supply at high voltage. This category is NOT available to customers with non standard or significant connection arrangements, who have distribution transformer(s) provided by Ergon Energy, or to customers who are metered at other than high voltage.**
 - (ii) ***Demand Large (DL), Demand Medium (DM) and Demand Small (DS)* are available to all standard asset customers . The network price categories are self-selecting as customers will find an optimum selection based on their load characteristics.**
 - (iii) ***Special Volume Small(VS)* is available only to contestable customers who since becoming contestable have reduced their energy consumption below 100 MWh per year. The application of this network price category is subject to the agreement of Ergon Energy, and customers must make specific application to Ergon Energy to access this price category. This price category is subject to annual review and may not be offered if an alternative network price is made available.**

4. ADDITIONAL CONTRACTUAL PROVISIONS FOR CUSTOMERS WITHOUT NEGOTIATED CUSTOMER CONNECTION CONTRACTS

The following contractual provisions in relation to distribution network price application apply to all contestable customers without Negotiated Customer Connection Contracts in addition to the provisions of the Standard Customer Connection Contract developed by Ergon Energy and approved by the Office of Energy.

- (a) The distribution network price category applied by Retailers will be subject to review in line with the following provisions:**
 - (i) Ergon Energy may review the distribution network price category selected by the Customer or their Retailer of Choice after the customer enters the market. The purpose of this provision is to ensure customers enter the market under the appropriate network price category.**
 - (ii) Ergon Energy must give the customer at least one month's notice of a proposed change in their distribution network price category.**
 - (iii) The Customer may elect to review the applied distribution network price category six months after entering the contestable market.**
 - (iv) After the initial six month period, the customer shall only be able to request that their distribution network price category be changed once in any twelve month period at no cost, unless there has been a substantial step load change.**
 - (v) Changes in distribution network price category will only proceed upon approval by Ergon Energy.**
 - (vi) Any change of distribution network price category will take effect from the commencement of the next billing period.**
- (b) The network price categories are self-selecting as customers will find an optimum selection based on their load characteristics. Where a customer has a change in their load characteristics, it is the customers responsibility to review their network prices to determine if a different network price category is appropriate.**
- (c) Demand and / or Volume is to be measured at each individual network connection point.**
- (d) Minimum Chargeable Demand will be applied for each month where the monthly maximum demand fails to exceed this value.**
- (e) Where Ergon Energy's load control relays and metering exist, they may not be disconnected without the Distributor's prior written consent.**
- (f) Customers or their Retailer of Choice will be billed on a monthly basis.**
- (g) Where applicable, service availability and demand charges will be calculated on a pro rata daily basis for initial and final accounts.**

5. ZONES

5.1 Number of Zones

Three pricing zones have been delineated in the Ergon Energy area of supply, broadly based on Local Government areas of Queensland and apply to Distribution Use of System (DUOS) prices only. Transmission Use of System (TUOS) prices are not impacted by zones:

- (a) East Zone - includes those Local Government areas where the Network Users are supplied from the distribution system having a relatively low cost to supply.
- (b) West Zone - includes those Local Government areas outside the East Zone and connected to the National Grid, which have a significantly higher distribution cost of supply than the East Zone.
- (c) Mount Isa Zone - broadly defined as those local government areas supplied from the isolated Mount Isa system. This zone is not connected to the National Grid and as such is excluded from the application of the Code. However oversight of network cost to supply for the zone as a whole is carried out by the QCA despite individual Network User group prices not being calculated.

5.2 Definitions of Zones

- (a) The East Zone consists of:

The cities of Bundaberg, Cairns, Gladstone, Hervey Bay, Mackay, Maryborough, Rockhampton, Thuringowa, Toowoomba and Townsville;

The Town of Dalby;

The whole of the Shires of Atherton, Banana, Biggenden, Bowen, Broadsound, Burdekin, Burnett, Calliope, Cambooya, Cardwell, Clifton, Duaringa, Eacham, Eidsvold, Fitzroy, Gayndah, Hinchinbrook, Isis, Johnstone, Jondaryan, Kingaroy, Kolan, Livingstone, Milmerran, Mirani, Miriam Vale, Monto, Mt Morgan, Munduberra, Murgon, Nanango, Nebo, Perry, Pittsworth, Rosalie, Sarina, Wambo, Warwick, Whitsunday, Wondai, and Woocoo;

Parts of the Shires of Belyando, Boonah, Cooloola, Crows Nest, Esk, Douglas, Gatton, Herberton, Inglewood, Kilkivan, Mareeba, Stanthorpe, and Tiaro.

Specific Parts of these shires are:

- (a) Belyando - Moranbah township;
- (b) Boonah, Cooloola, Crows Nest, Esk, Gatton, Inglewood, Kilkivan, Stanthorpe, and Tiaro - Ergon Energy supply area only;
- (c) Douglas - Area south of the Daintree River
- (d) Herberton and Mareeba - Atherton Tableland area supplied from the "East" distribution system.

(b) The West Zone consists of:

The City of Charters Towers;

The Town of Roma;

The whole of the Shires of Aramac, Barcaldine, Barcoo, Bauhinia, Bendemere, Blackall, Booringa, Bulloo, Bungil, Carpentaria, Chinchilla, Cook, Croydon, Dalrymple, Diamantina, Emerald, Etheridge, Flinders, Ilfracombe, Isisford, Jericho, Longreach, McKinlay, Murilla, Murweh, Paroo, Peak Downs, Quilpie, Richmond, Tambo, Taroom, Warroo, and Winton;

Parts of the Shires of Balonne, Belyando, Douglas, Herberton, Mareeba, and Waggamba.

Specific Parts of these shires are:

- (a) Belyando - Other than Moranbah township;**
- (b) Waggamba - Ergon Energy supply area only;**
- (c) Douglas - North of the Daintree River not excluded by the Distribution Authority;**
- (d) Herberton and Mareeba - other than the Atherton Tableland area.**

(c) The Mt Isa Zone consists of:

The City of Mt Isa

The whole Shire of Cloncurry

Parts of the Shires of Burke and Boulia which are supplied from the Mt Isa system

- (d) NOTE: those areas supplied from isolated generation are NOT included in any of the above zones.**

5.3 Zone Map

The following map depicts the East, West and Mount Isa Zones.

6. TABLES 1 & 2 – CAC PRICES for SHARED NETWORK COMPONENTS

{These prices are GST Inclusive - to determine GST Exclusive divide by 1.1}

Table 1 - East Zone						
Distribution Use Of System (DUOS) Prices for Connection Asset Customers						
(These tables do Not include TUOS, Add on TUOS from Table 5)						
Network Charge Category	Network Charge Description	Default Distribution Loss Factor	Fixed Charge \$/month	Capacity Charge \$/kW/month	Actual Demand Charge \$/kW/month	Volume Charge c/kWh
CAC66	66kV	1.022	Site Specific	\$1.1781	\$0.6952	0.1804
CAC33	33kV	1.022	Site Specific	\$1.5928	\$0.8745	0.1804
CAC 22/11B	22/11kV Bus	1.021	Site Specific	\$2.3199	\$1.1583	0.1804
CAC 22/11L	22/11kV Line	1.038	Site Specific	\$5.1161	\$2.5993	0.1804

Table 2 - West Zone						
Distribution Use Of System (DUOS) Prices for Connection Asset Customers						
(These tables do Not include TUOS, Add on TUOS from Table 5)						
Network Charge Category	Network Charge Description	Default Distribution Loss Factor	Fixed Charge \$/month	Capacity Charge \$/kW/month	Actual Demand Charge \$/kW/month	Volume Charge c/kWh
WCAC66	66kV	1.050	Site Specific	POA	POA	POA
WCAC33	33kV	1.050	Site Specific	\$17.2469	\$15.7905	0.4950
WCAC 22/11B	22/11kV Bus	1.054	Site Specific	POA	POA	POA
WCAC 22/11L	22/11kV Line	1.090	Site Specific	\$24.0482	\$10.6392	0.4950

Notes on Tables:

1. Demand and / or Volume are to be measured at each individual distribution network connection point.
2. The CAC Fixed Charge is dependent upon the assets dedicated to the Network User and therefore is site specific.
3. These tables do NOT include TUOS. Add TUOS from Table 5.
4. A prefix of "W" has been added to all the West Zone charge categories for ease of reference.
5. POA – Price on Application

7. TABLES 3 & 4 – SAC NETWORK PRICES

{These prices are GST Inclusive - to determine GST Exclusive divide by 1.1}

Table 3 - East Zone						
Distribution Use Of System (DUOS) Prices for Standard Asset Customers						
(These tables do Not include TUOS, Add on TUOS from Table 5)						
Network Charge Category	Network Charge Description	Default Distribution Loss Factor	Minimum Chargeable Demand kW	Service Availability Charge \$/month	Demand Charge \$/kW/month	Volume Charge c/kWh
DH	High Voltage Demand	1.038	400	\$377.63	\$7.1643	0.1826
DL	Large Demand	1.083	400	\$672.54	\$8.0883	0.1826
DM	Medium Demand	1.083	120	\$279.07	\$9.0728	0.1826
DS	Small Demand	1.083	40	\$32.78	\$11.1331	0.1826
VS	Small Volume	1.083	N/A	\$38.73		0.8910

Table 4 - West Zone						
Distribution Use Of System (DUOS) Prices for Standard Asset Customers						
(These tables do Not include TUOS, Add on TUOS from Table 5)						
Network Charge Category	Network Charge Description	Default Distribution Loss Factor	Minimum Chargeable Demand kW	Service Availability Charge \$/month	Demand Charge \$/kW/month	Volume Charge c/kWh
WDH	High Voltage Demand	1.090	400	\$355.30	\$33.8932	0.4983
WDL	Large Demand	1.167	400	\$823.13	\$36.6784	0.4983
WDM	Medium Demand	1.167	120	\$329.67	\$37.9115	0.4983
WDS	Small Demand	1.167	40	\$46.31	\$40.2754	0.4983

Notes on Tables :

1. Demand and / or Volume are to be measured at each individual distribution network connection point.
2. Minimum Chargeable Demand will be applied for each month where the monthly maximum demand fails to exceed this value.
3. These tables do NOT include TUOS. Add TUOS from Table 5.
4. A prefix of "W" has been added to all the West Zone charge categories for ease of reference.
5. N / A – Not applicable.

8. TUOS

8.1 Treatment of TUOS for ICCs, CACs and SACs

Transmission Use of System Charges are calculated and levied by Powerlink to Ergon Energy and are passed through to Ergon Energy's Network Users on the following basis:

- (a) ICCs - direct pass through.**
- (b) CACs & SACs - converted to average c / kWh per TNI and applied as 100% Volume - see Table 5.**

TUOS charges are subject to change by Powerlink each year, and these changes will be reflected through to Ergon Energy's customers.

TUOS charges levied by Powerlink may change during the pricing period and if this occurs, Table 5 will be updated and a new Price Book will be released.

8.2 Applying TUOS to CAC and SAC Prices

- (a) TUOS for CAC and SAC customers has been calculated as an "average" c / kWh for each Transmission Network Connection Point (ie. TNI).**
- (b) Ergon Energy advises Retailers of the TNI applicable to particular customers at the time of issuing Certificates of Contestability. If uncertain, customers and Retailers should confirm the TNI by contacting Ergon Energy.**
- (c) CAC customers receive individual advice from Ergon Energy regarding their network charges for the forthcoming year. This advice includes the applicable TUOS rate which must be applied to the DLF adjusted customer kWh to obtain the correct TUOS charge**
- (d) SAC customers (or their Retailer) must determine their total network volume charge by including the TUOS c / kWh for the relevant TNI applicable to the customer from Table 5. This TUOS rate must be applied to the DLF adjusted customer kWh to obtain the correct TUOS charge.**

9. TABLE 5 - TUOS for CACs and SACs

{These prices are GST Inclusive - to determine GST Exclusive divide by 1.1}

Table 5 - Transmission Use of System Charges - CAC and SAC Customers		
NOTE: Customer energy must be multiplied by customer distribution loss factor to obtain the correct TUOS kWh, then apply the relevant c/kWh for the TNI.		
Transmission Connection Point	TNI	Volume Charge c/kWh
Alligator Creek	QALC	1.3552
Biloela	QBIL	1.0813
Blackwater	QBWL	1.1121
Cairns	QCRN	1.9052
Cairns (Cairns City)	QCNS	1.8810
Cardwell	QCDW	3.5024
Clare	QCLR	1.3981
Collinsville	QCOL	1.6005
Dan Gleeson	QDGL	1.3662
Dysart	QDYS	1.2793
Egans Hill	QEGN	1.0021
Garbutt	QGAR	1.2870
Gin Gin	QGNG	0.9383
Gladstone (Boat Creek)	QGLA	0.7799
Gladstone South	QGST	0.8690
Ingham	QING	2.0361
Innisfail	QINF	2.0273
Kamerunga	QKAM	2.3232
Lilyvale	QLIL	1.1187
Lilyvale (Clermont)	QLCM	0.2497
Mackay	QMKA	1.2771
Middle Ridge	QMRG	1.0065
Moranbah	QMRL	1.2001
Moura	QMRA	1.1770
Nebo	QNEB	3.6080
Newlands	QNLD	1.6676
Pioneer Valley	QPIV	1.6390
Proserpine	QPRO	1.3816
Rockhampton	QROC	1.1198
Ross	QROS	2.2517
Tangkam	QTKM	1.0857
Tarong	QTRH	0.8525
Tarong	QTRL	1.0318
Townsville South	QTVS	1.5719
Tully	QTLL	2.5113
Turkinje	QTUL	1.6676
Turkinje (Port Douglas)	QTUH	1.6841
Woolooga	QWLG	0.8470

10. DISTRIBUTION LOSS FACTORS

10.1 ICCs, some CACs and EGs

Distribution Loss Factors for ICCs, some CACs and EGs are published on the NEMMCO web site:

<http://nemmco.com.au/>

10.2 Remaining CACs and SACs

- (a) The following table of Distribution Loss Factors has been approved by the QCA and published by NEMMCO for the 2002 / 2003 year.
- (b) Detailed information about the purpose and application of Distribution Loss Factors may be obtained from the NEMMCO web site:

<http://nemmco.com.au/>

Queensland 2002 / 2003 Distribution Loss Factors						
Network Customer	Subtransmission Bus	Subtransmission Line	22 / 11kV Bus	22 / 11kV Line	Low Voltage Bus	Low Voltage Line
Urban Zone	1.002	1.022	1.021	1.038	1.069	1.083
Remote / Rural Zone	1.012	1.050	1.054	1.090	1.130	1.167

10.3 Table Applies to CACs and SACs

The Distribution Loss factors presented in the above table apply to CACs and SACs - and do not apply to Individually Calculated Customers (ICCs), some specially calculated CACs or Embedded Generators (EGs).

10.4 What is a Distribution Loss Factor?

- (a) The Distribution Loss Factor (DLF) is a multiplier used to convert the customer's actual metered energy into the equivalent energy passing through the appropriate Transmission Network Connection Point by allowing for the distribution network losses that the customer's energy usage causes between their meter and the transmission network connection point.
- (b) The appropriate DLF and the applicable Transmission Loss Factor (TLF) are multipliers to be applied to the metered consumption for market settlement purposes.

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- (c) Every contestable customer must have a DLF. The appropriate DLF is associated with the location of their metering point.
 - (d) The Distribution Loss Factors in this guide are those as defined by clause 3.6.3(d)(1) of the National Electricity Code and only apply to non-Individually Calculated Customers entering the market.

10.5 DLF Categories

- (a) Sub-transmission Bus – **Applicable to non-ICC bus connection points that are HV metered at a voltage greater than 30kV.**
- (b) Sub-transmission Line – **Applicable to non-ICC line connection points that are HV metered at a voltage greater than 30kV.**
- (c) 22/11kV Bus - **Applicable to bus connection points that are HV metered at a voltage less than 30kV and greater than 1,000 volts.**
- (d) 22/11kV Line – **Applicable to line connection points that are HV metered at a voltage less than 30kV and greater than 1,000 volts.**
- (e) Low Voltage Bus - **Applicable to bus connection points that are LV metered at a voltage lower than 1,000 volts.**
- (f) Low Voltage Line – **Applicable to line connection points that are LV metered at a voltage lower than 1,000 volts.**

10.6 DLF Definitions

- (a) Sub-Transmission and 22/11kV Bus

If customers believe that they qualify for a high voltage Bus DLF rather than a high voltage Line DLF they should submit details justifying their claim to their Distribution Network Service Provider. As an example, customers who are supplied from a Zone Substation by dedicated 22/11kV lines and are metered at or immediately adjacent to the Zone Substation would be eligible for a 22/11kV Bus DLF.

Furthermore, customers who are supplied from a Zone Substation by dedicated greater than 30kV lines and are metered at or immediately adjacent to the Zone Substation would be eligible for a Sub-Transmission Bus DLF.

Zone Substations are defined as Substations where the voltage level is stepped down from a voltage greater than 30kV.

- (b) Sub-Transmission Line

The Sub-Transmission Line DLF will apply to all customers who are connected to high voltage Sub-Transmission lines (greater than 30kV) and are metered at the same voltage as the line is energised.

(c) 22/11kV Line

The 22/11kV Line DLF will apply to all customers who are connected to high voltage distribution lines and are metered at the same voltage as the line is energised.

(d) LV Bus

Customers who are supplied from a distribution substation on their site (owned or leased) and are metered at the low voltage level are eligible for a LV Bus DLF.

(e) LV Line

All customers not covered by any of the above categories

10.7 DLF Application Rules

(a) The DLFs in this guide do NOT apply to ICC customers and Generators.

(b) The zonal boundaries are identical to those boundaries used for the Network Prices.

(c) The Customer or Retailer of Choice (ROC) must nominate the DLF appropriate to the connection. The Customer or ROC may be required to justify any nominated DLF.

(d) The DLFs will be reviewed and published on a periodic basis in line with the requirements of the National Electricity Code.

(e) Where the voltage at the metering point is not listed, or there is doubt about the application of these rules, please request advice from Ergon Energy.